APEX ENTERPRISE SYSTEMS INC.

GLOBAL COMMERCIAL PRICING & DISCOUNTING POLICY GOVERNANCE (POL-2024-PR01)

Effective Date: July 1, 2024
Supersedes: POL-2022-PR04
Scope: All Sales, Account Executives, Commercial Operations, and Finance Personnel

1. PURPOSE & PRINCIPLES

This policy establishes mandatory governance rules for contract pricing, tier discounts, multi-year commitments, and margin protection thresholds across all commercial agreements.

2. STANDARD AUTHORIZATION THRESHOLDS

Every commercial contract must adhere to the following discount authorization matrix based on Annual Contract Value (ACV) and discount percentage:

- Tier 1 (0.0% to 10.0% discount): Standard field sales discretion; requires Account Executive and Sales Manager sign-off.
- Tier 2 (10.1% to 18.0% discount): Requires Regional Sales Director sign-off.
- Tier 3 (18.1% to 25.0% discount): Requires Vice President of Sales and Commercial Finance Director approval.
- Tier 4 (> 25.0% discount): Prohibited for standard accounts. Exceptions require joint written sign-off from the Chief Revenue Officer (CRO) and Chief Financial Officer (CFO).

3. SPECIAL RULES BY PRODUCT CATEGORY

- AI Developer Tools (NeuralKit Enterprise): Maximum allowable discount is strictly capped at 15% under all circumstances due to high GPU compute cost commitments.
- Cloud Infrastructure: Discounts up to 20% require a minimum 36-month term commitment.
- Bundled Deals: When Cyber Security and Business Analytics products are packaged together, aggregate package gross margin must exceed 38%.

4. NON-COMPLIANCE & AUDIT PENALTIES

Unapproved verbal or written discounting commitments will be voided. Sales representatives who execute unauthorized side letters or unapproved discounting forfeit commission eligibility on the affected transactions.